



LONG Global Payments Inc. (NYSE: GPN)

Current Price: \$84.90 (25/09/2025)

Target Price: \$125.48 (47.8% upside)

For Varsity Pitch Competition 2025

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Bold Strategic Shifts are Driving a Pivotal Inflection Point for GPN

Narrative Summary

1

What is GPN?

- Global Payments (GPN) is a top merchant acquirer, processing ~\$3.7T in annual volume post-Worldpay (WP) acquisition.
- From 2020–2024, EPS tripled from \$2.17 to \$6.18; net margin rose from 2.9% to 8.8%; and, RoE improved from 2.9% to 15.5%

2

Worldpay Acquisition

- In Apr 25, GPN committed to acquiring WP in a \$25.4B acquisition, creating the largest merchant acquirer globally.
- The acquisition creates ~\$200M in annual revenue synergies and ~\$650M in annual cost savings.

3

Secular Tailwinds

- GPN is highly exposed to SMBs, a segment set to expand under Trump's One Big Beautiful Bill Act, increasing GPN's TAM.
- GPN's global reach + WP's E-comm strengths are perfect to capture the strong growth within E-comm and cross-border transactions.

4

Internal Transformation

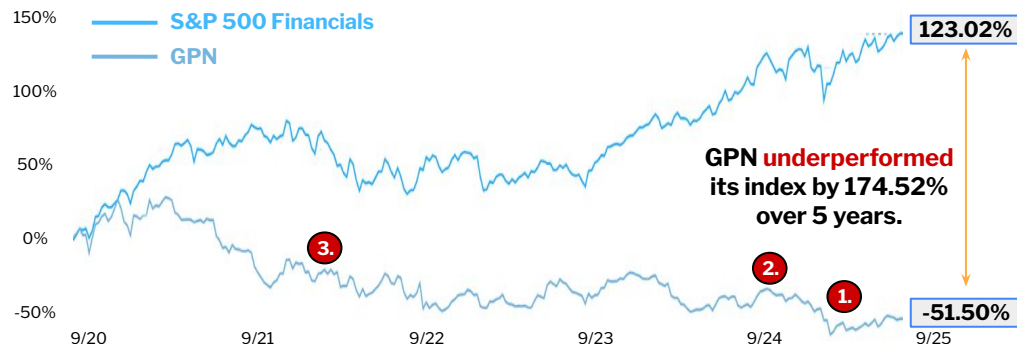
- GPN's divestiture of Consumer Sol. and Issuer Sol. verticals repositions itself as a pure-play merchant acquirer, which generally trade at higher multiples.
- Launched Genius POS ecosystem, consolidating fragmented products into a more competitive single platform.

5

FCF Generation

- Strong FCF supports a \$7.5B buyback/dividend program + Mgmt has forecasted to deleverage from 3.5x to 3x within 24 months.
- Upcoming share buybacks + dividend returns provide compelling reasons to purchase while stock is still undervalued.

GPN underperformed significantly over past 5 years



Why GPN had underperformed

1 Apr 25: Skepticism over WP Acquisition

GPN announces WP acquisition on April 17, triggering a **17% drop** in stock price. This is triggered by doubts over management's execution ability.

2 Sep 24: Lagging Innovation vs Peers

GPN lagged peers in innovation, ceding market share to faster-growing neobanks such as Block, resulting in **three consecutive earnings misses**.

3 Jan 22: SMB Market Headwinds

GPN's core verticals (Retail Trade, Accommodation & Food Services) saw **14 months of negative YoY business application growth**.

Where we see upside

1 Proven M&A + Strong Tailwinds

GPN's mgmt has proven track record of acquisitions; Worldpay will benefit GPN through surges in e-commerce, cross-border payments, and stablecoin adoption.

2 Pure-Play + Efficiency Upside

GPN's divestitures, Genius POS ecosystem, and \$650M cost savings program streamline the business, enhance competitiveness, and support a valuation re-rating.

3 SMB Recovery + Market Leadership

With SMB formation rebounding under Trump's OBBA, GPN's leading SMB franchise is positioned to capture growth from a larger, expanding addressable market.

Riding the Digital Payments Wave: GPN's Unique Positioning



Key Industry Growth Drivers

Digital Wallet Boom

Digital wallets are facing rapid adoption, and are projected to account for 65% of online and 45% of POS payments

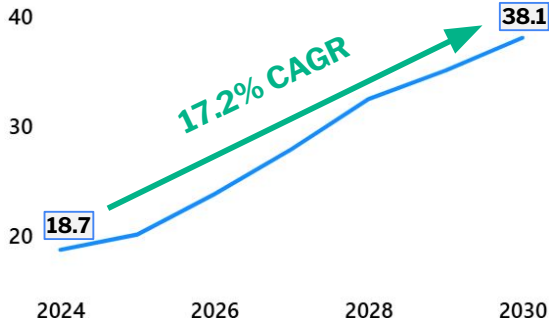
Increased Access in Emerging Markets

Smartphones enable people to save and participate in the digital economy — fueling social and economic inclusion

Tech Infrastructure Gains

Real-time payments, AI-driven fraud prevention, and digital rails are making digital transactions safer and cheaper

Value of Digital Transactions Globally, USD (Trillions)



Industry Trends

Surge in Small Medium Businesses (SMB)

Trump's One Big Beautiful Bill Act delivers permanent tax cuts & more, increasing incentives for SMBs to launch, creating a larger TAM

Cross-Border + E-Commerce Acceleration

Global cross-border payments (~\$194T → \$320T by 2032) and e-commerce (30% cross-border at 15.4% CAGR) are expanding rapidly, fueled by digital commerce growth

Stablecoin Adoption

Stablecoins are enjoying rapid adoption, with total transfer volume reaching \$27.6 trillion in 2024, surpassing the combined transaction volume of Visa and Mastercard

Industry Headwinds & GPN's Counters

H1

Tech-Driven Competition

- Tech-driven players such as Stripe and Square, with their innovative platforms, are gaining market share
- Incumbents must evolve rapidly or risk losing market share to newer entrants

H2

ISV Margin Squeeze

- Independent software vendors (ISVs) are growing in popularity, and are gaining bargaining power over merchant acquirers.
- Large ISVs squeeze processor margins by capturing part of the take rate

C1

Launch of GPN Genius Platform

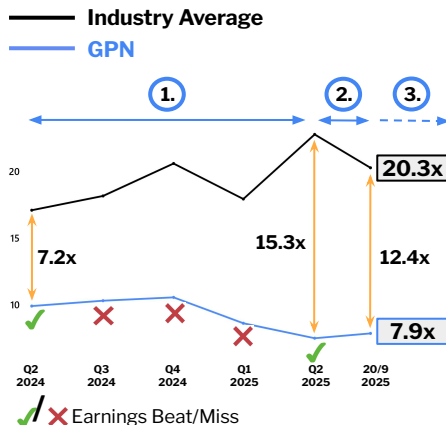
- Genius is a highly configurable, cloud-based solution directly matching or exceeding the feature set of competitors
- Genius lets GPN leverage its existing scale and strong product stickiness to retain and grow its merchant base

C2

GPN's ISV Hedges

- WP provides exposure to enterprise & e-comm, which are less affected by ISVs, while GPN's value-added services and high switching costs strengthen pricing power.
- GPN's global scale and reliability are essentials for larger merchants; ISVs cannot provide this

GPN's Comparative Valuation (TEV/EBITDA)



1. Early Underperformance

GPN misses earnings estimates for three consecutive quarters, and the TEV/EBITDA gap vs the industry widens from **7.2x** to **15.3x**

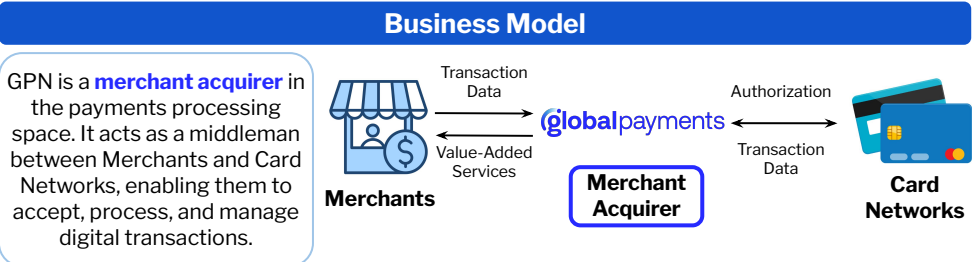
2. Q2 2025 Earnings Beat

Following renewed momentum and a Q2 2025 earnings beat, GPN narrowed the gap to **12.4x** within just two months.

3. Momentum in Favor of Recovery

Driven by increased margins and operating income, we expect GPN's valuation to close in on the industry's

GPN: A Bold Transformation Showing Early Signs of Success



Competitors

Merchant Acquirers

- FIS
- Elavon
- fiserv.

Neobanks

- adyen
- PayPal
- block

Main Customers

- Small Medium Businesses
- Enterprises, E-Commerce
- Independent Software Vendors

Revenue Streams

- Fees tied to txn volume
- Value-added services like POS software
- Integrated Payment Svcs

GPN's Core Competitive Advantages

1 Industry Leader (Transaction Volume)

- After WP acquisition, GPN will process ~3.7T in transaction volume globally
- Better pricing power and lower unit costs

Economies of Scale

2 High Switching Costs

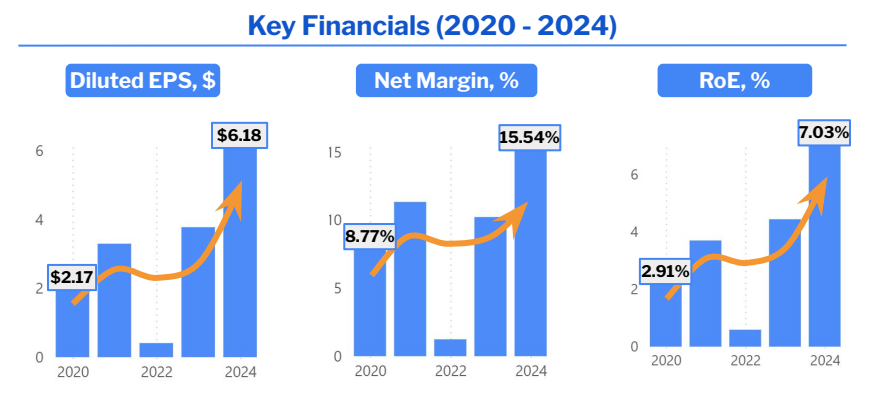
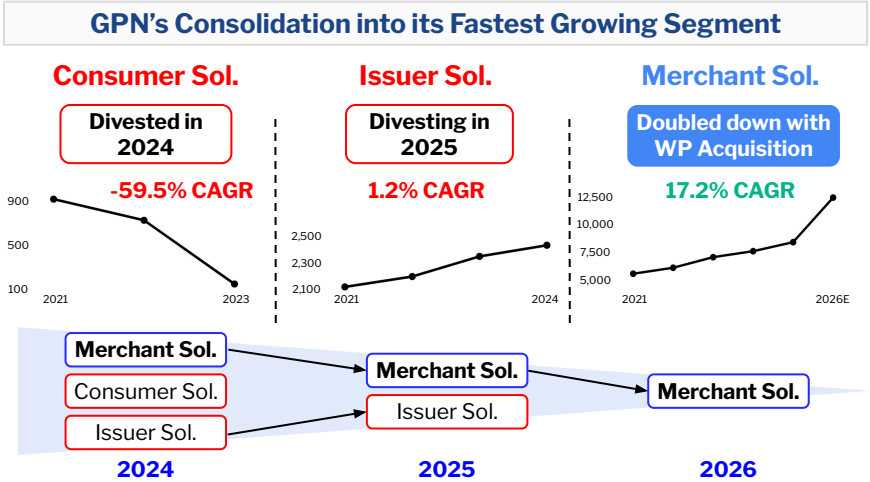
- GPN's embedded integrations mean switching away requires system reconfiguration, extra training, and risk of downtime

Customer Loyalty

3 Breadth of Products

- GPN's breadth allows for bundled merchant solutions that boost retention and margin, insulating GPN from pure price-based competition

Product Differentiation



GPN Acquires Worldpay, Establishing Global Leadership in Payments

Worldpay Overview

A Fellow Merchant Acquirer

Similar to GPN, Worldpay is also a Merchant Acquirer. It's business model centers on %-of-transaction-revenue

WP's Core Business Units

1. E-Commerce

Worldpay's core strength is its e-comm platform enabling businesses to accept different payments types and currencies

2. Enterprise Clients

Worldpay is one of few companies that can reliably handle complex, high-volume, multi-region payment stacks for MNCs

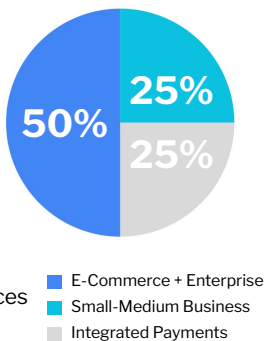
3. Small-Medium Businesses (SMBs)

WP mainly provides cross-border & payment processing services to SMBs, lacking the integrated features GPN is known for

4. Integrated Payments

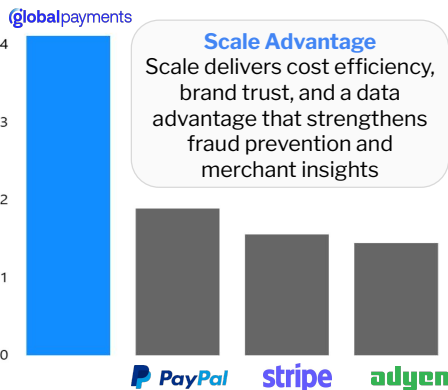
WP provides software platforms with embedded payment capabilities

Worldpay Revenue
(Per Segment)

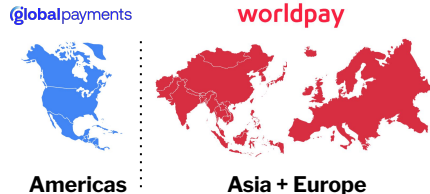


Pro-Forma, GPN Becomes the Global Leader of Payments Processing

Total Payments Volume, Trillions of USD



Key Geographies



Strong Global Presence

Worldpay complements GPN's Americas base, adding Asia + Europe expertise to enable global access to local payment methods, opening new merchant pools and strengthening appeal to MNCs, creating an edge over regional rivals

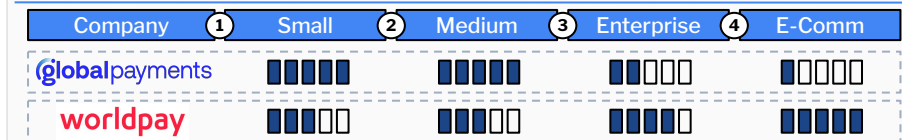
Top-Level Acquisition Effects

E1

Coverage across entire Merchant Spectrum

- GPN excels in SMBs with integrated software-driven solutions, while WP leads in large enterprises and high-vol. E-comm. Combined, they serve the entire merchant spectrum
- This "one-stop" capability differentiates the company, enabling it to support clients as they scale while delivering enterprise-grade features across its entire SMB customer base

GPN/WP Expertise across Merchant Segments



E2

Cross-Selling for Best-in-Class Product Suite

- Worldpay's SMB base can adopt Global Payments' POS and commerce tools; GPN's mid-market clients gain Worldpay's e-commerce capabilities; the combined firm can leverage joint partner networks to deepen relationships, grow wallet share, and stand apart from niche rivals.



Street is Bearish on Worldpay Deal. Here's Why They're Wrong.

Funding Structure, USD (Bn)

1. Equity (\$4.2Bn)

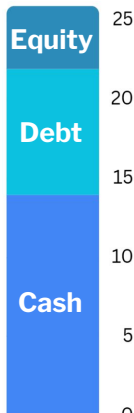
New shares will be issued, resulting in ~15% dilution of GPN shares

2. Debt (\$7.7Bn)

New debt (bridge financing), which will also be used to refinance WP's outstanding debt, will be taken on.

3. Cash (\$13.5Bn)

Sourced from the divestiture of GPN's Issuer Solutions business to FIS + cash on hand



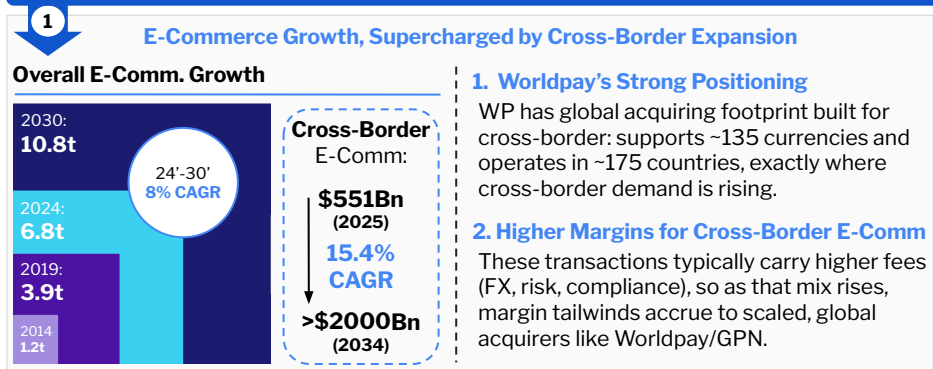
Street's Bearish View on the Acquisition

- Leverage, Dilution, and Financial Risk**
Deal structure amplifies leverage and dilution concerns. Investors fear stretching the balance sheet in a cyclical business at high rates, especially with stock issued above market to GTCR is risky.
- Deal Complexity Drives Execution Risk Concerns**
Simultaneous WP acquisition and Issuer Sol. divestiture is a complex transaction, raising risks of operational disruption, tech issues, and slower synergy realization, justifying near-term investor caution.
- Historical Skepticism of Scale-Driven Mergers**
Investors are wary since many past payment mega-deals have failed, ending in a value-destroying spin-off. Analysts argue large integrations rarely deliver promised synergies, and GPN risks repeating this pattern.

Why the Street is Mistaken

- Strong Cash Flow, Deleveraging, and Shareholder Returns**
GPN expects \$6.5B in annual adj. EBITDA, strong FCF, and plans to cut leverage from ~3.5x to ~3.0x in ~24 months. GPN is also launching a \$7.5B buyback/dividend plan to offset GTCR dilution.
- Proven Acquisition & Integration Track Record Mitigates Risk**
GPN and current CEO Cameron Bready both have an extensive track record of acquisitions and successful subsequent integrations of large payments businesses. (EVO, TSYS, Heartland)
- Business Transformation and WP's strategic fit**
GPN also becomes a pure-play merchant acquirer, gaining greater agility - making this deal structurally different. Furthermore, WP and GPN have complementary business strengths.

Worldpay Poised to Beat Expectations Amid Industry Shifts



GPN's Pure-Play Transformation: Driving Performance and Re-rating

Pure-play Repositioning

Simplified Business Model

GPN's **divestiture of its slower-growth Consumer & Issuer Sol. business and its acquisition of WP** sharpens its focus into a pure-play merchant acquirer.

Qualitative Proof (The PayPal Precedent)

In 2015, eBay spun off PayPal to **unlock shareholder value**. The separation allowed PayPal to focus on its core business, accelerating its growth and increasing its market valuation.

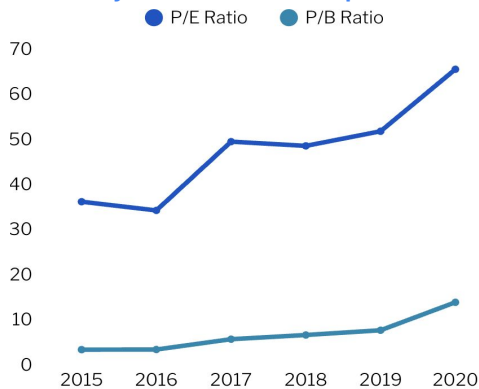
Superior Valuation Multiples

Pure-play merchant acquirers command **premium valuations**, as diversified firms face a **"conglomerate discount"** from lack of focus and resource inefficiency.

Quantitative Proof (Valuation Gap)

Market awards a valuation multiple that is **2 - 3x higher** for pure-play payment technology companies. GPN's repositioning thus creates a clear path for a significant stock re-rating.

PayPal's Valuation Post Spin-off



Source: CapIQ, MLQ, GPN Reports

Enhanced Technology: The Genius POS Ecosystem



Streamlined Solutions

Genius replaces GPN's fragmented legacy products with an **all-in-one, intuitive and highly configurable new POS platform**, enabling customers to enjoy the full range of solutions while simplifying GPN's business model.



Direct Growth Driver

Genius enables **global expansion and vertical specialization at scale**, allowing GPN to rapidly launch in multiple countries, adapting to the unique requirements of each market. It also unlocks opportunities in specialized retail segments.



Enhanced Competitive Positioning

Genius **closes the technology gap** between GPN and competitors like Stripe and Square. Unifying best-in-class capabilities into a single new platform also allows GPN to establish a **stronger and more recognizable brand** in the market.

Cost Discipline & Proven Execution

Expense Synergies

3 cost-saving pillars: **Tech, Operations & Corporate** drive ~\$650M annualised expense synergies.

\$650M /year

Revenue Synergies

Capitalising on **combined strengths** post-Worldpay acquisition enhances revenue by at least \$200M.

\$200M /year

Early Financial Improvement (Q2 '25)

①

Margin Expansion

Q2 margin expanded by 130 bps to 44.6%, with full-year guidance raised to "more than 50 bps" of expansion.

②

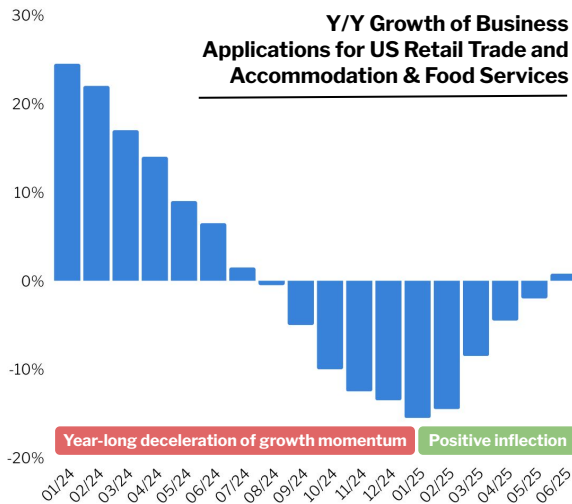
Earnings Momentum

First earnings beat in four quarters, with Q2 results "modestly ahead" of expectations.

SMB Recovery: Driving Outsized Growth from Expanding Core Market

A Market Headwind is Now a Tailwind

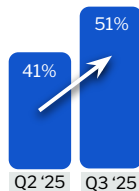
Y/Y Growth of Business Applications for US Retail Trade and Accommodation & Food Services



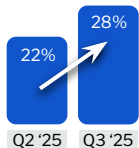
GPN's recent slowdown (Q3 '24 - Q1 '25 earnings misses) stemmed from a **challenging macro environment** where SMB formation was under pressure, particularly in GPN's core retail and hospitality verticals. **However, there has since been a potential positive inflection in these underlying SMB trends.**

Powerful Catalyst For an Expanding Market

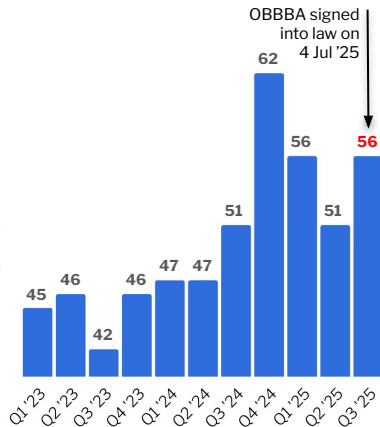
More SMBs Expect Sales Growth (NTM)



More SMBs Plan to Hire (NTM)



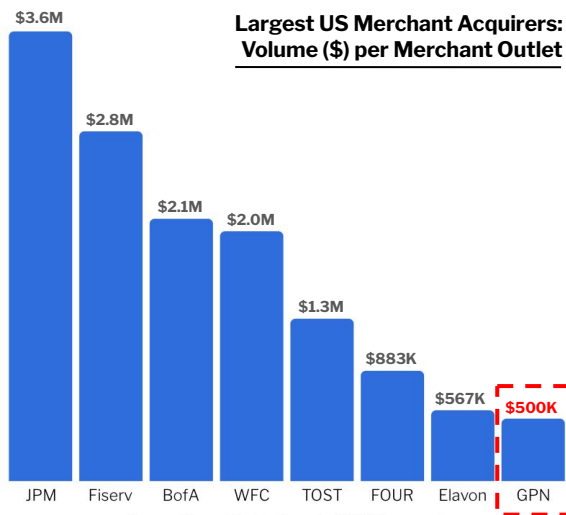
CNBC | SurveyMonkey Small Business Confidence Index



Trump's "**One Big Beautiful Bill Act**" (OBBBA) is a **major catalyst**, creating a larger and more confident SMB market. By making key tax cuts permanent, the law has already triggered a measurable surge in SMB economic optimism, which directly translates to **accelerated hiring and sales growth expectations.**

GPN Benefits Through Core SMB Exposure

Largest US Merchant Acquirers: Volume (\$) per Merchant Outlet



GPN has an **outsized exposure to the SMB segment**, which differentiates it from its large-scale peers who target bigger merchants. This concentration means that a broad-based recovery in SMB formation **directly translates into significant operating leverage for GPN.**

DCF & Comparable Companies' Analysis: Low Prices, High Value

DCF & sensitivity analyses show clear upside

	Price	Return	Weight	Weighted Ret.
Bear	\$88.34	+4.1%	25%	+47.8%
Base	\$129.44	+52.5%	50%	
Bull	\$154.57	+82.1%	25%	
				Target Price: US \$125.48

Perpetuity Growth Rate						
WACC		1.0%	1.5%	2.0%	2.5%	3.0%
	8.2%	61.5%	73.0%	86.4%	102.1%	120.9%
	8.7%	47.1%	56.9%	68.2%	81.3%	96.7%
	9.2%	34.5%	43.0%	52.5%	63.6%	76.3%
	9.7%	23.4%	30.7%	38.9%	48.2%	59.0%
	10.2%	13.4%	19.8%	26.9%	34.9%	44.1%

GPN trades at cheaper valuation than peers

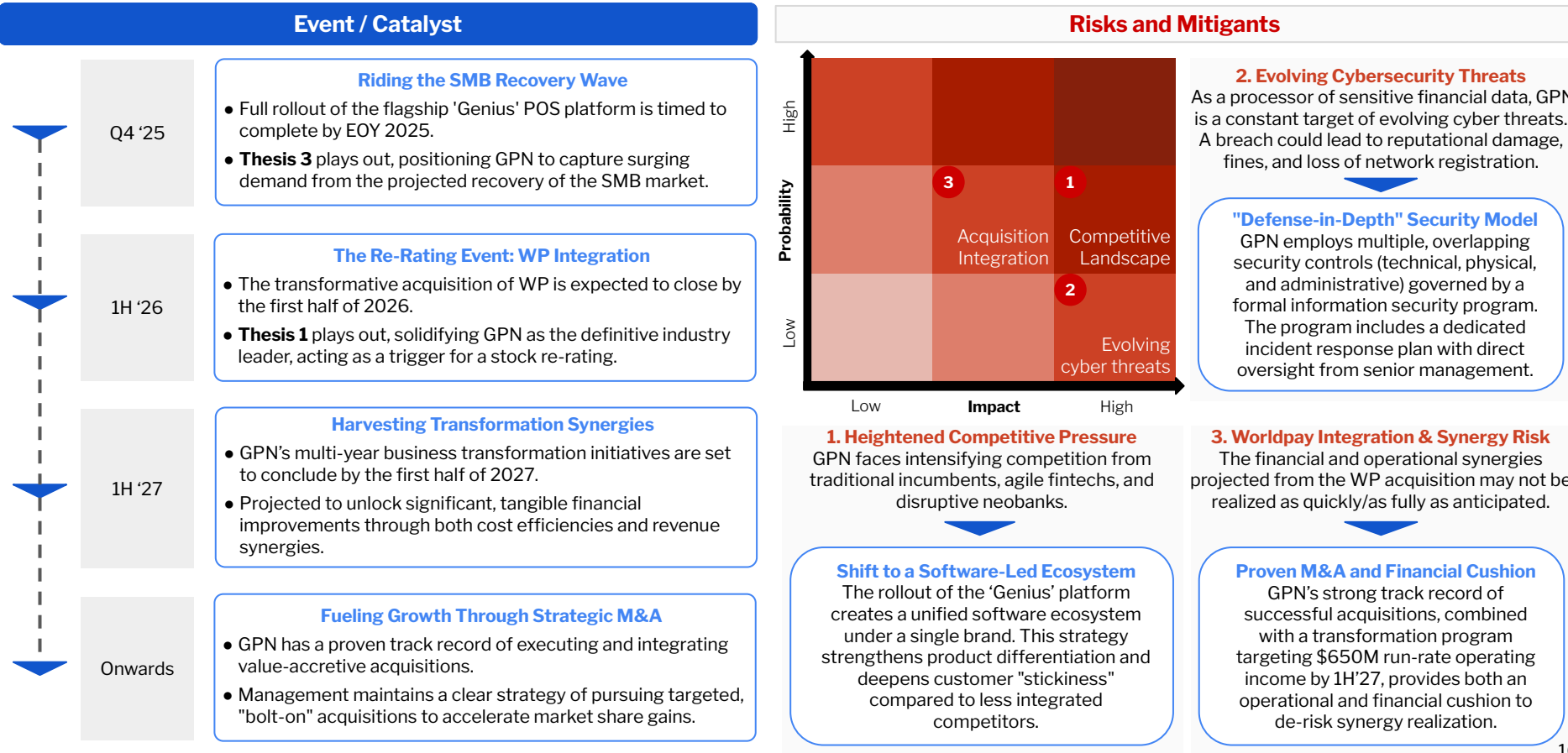
	Merchant Acquirers		Neobanks			
P/E	FIS	fiserv.	adyen	block	PayPal	globalpayments
	29.99x	37.33x	48.89x	18.18x	20.63x	18.16x

As shown, GPN trades at a lower Price/Earnings ratio of 18.16x compared to competitor firms within the industry with a mean of 31.00x, showing how GPN is currently undervalued and has room for multiple expansion as well.

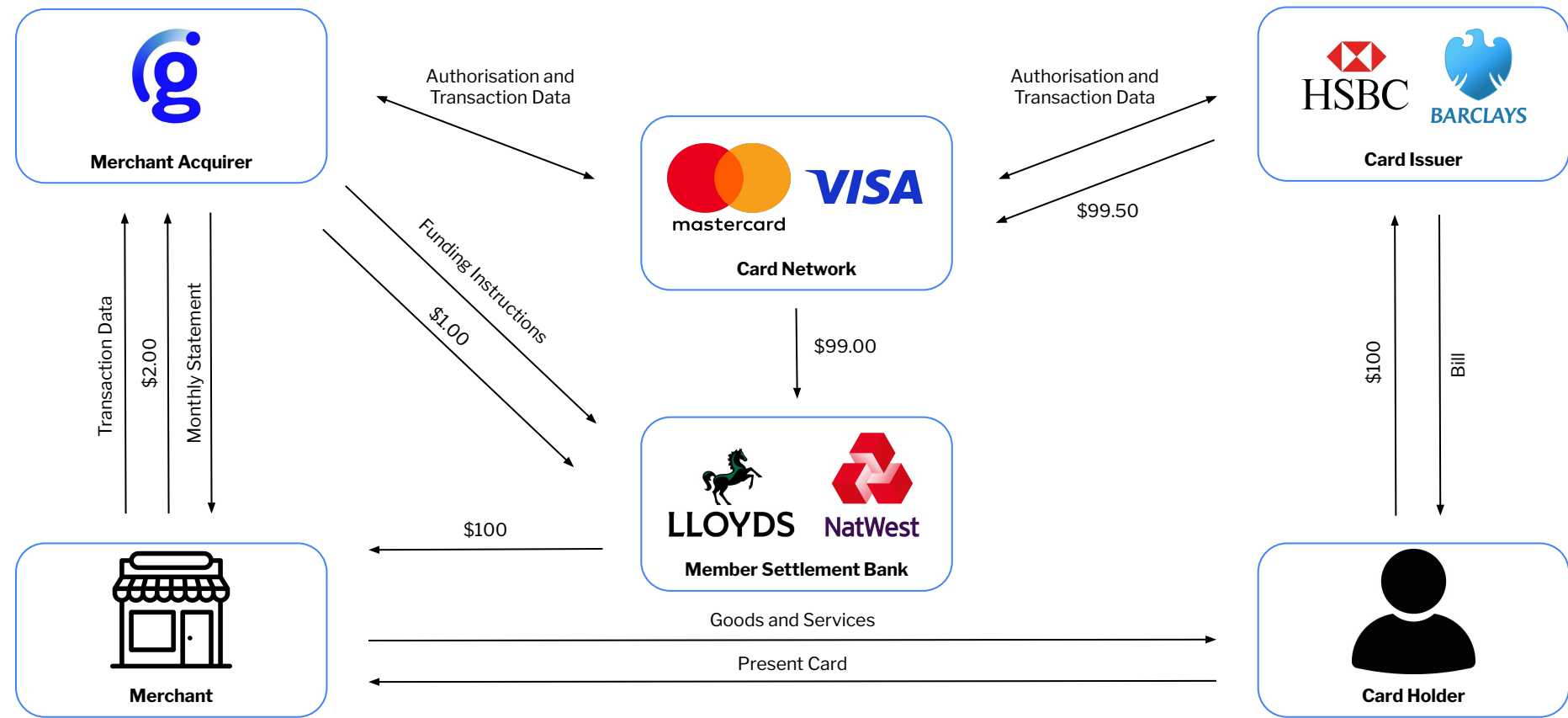
Summary of Assumptions

Case	Hist.	Bear	Base	Bull	Commentary
Revenue CAGR	8%	7%	9%	11%	Bear: Revenue growth slows due to loss of market share from the increased emergence of neobanks Base: Revenue growth improves due to successful Genius innovation and increased market share from global expansion Bull: Further increase of market share from macroeconomic tailwinds such as stronger SMB growth trends
Merger Revenue Synergies (3 years after merger)	NIL	100M	200M	300M	Bear: Synergies fall short due to potential unforeseen challenges in integration and cross-selling Base: Management's predicted revenue synergies of 200 million are realised as combined business capitalises on strengths in payments, software and commerce solutions Bull: Stronger-than-expected cross-selling of combined offerings and accelerated market penetration drive revenue synergies to exceed management's expectations
Operating Margin	25%	23%	28%	30%	Bear: Margins could worsen if ISVs' bargaining power over merchant acquirers (e.g. GPN) increases, thereby placing pressure on GPN's take-rate and lowers margins Base: Increase in margins due to merger cost synergies and consolidation into Merchant Solutions solely Bull: Faster and stronger than expected integration cost savings from scale and streamlined operations allow for an enhanced profitability profile

When We Win & What Could Break



Payment Process



Competitive Analysis of GPN's Positioning in the Payments Industry

Porter's 5 Forces: Global Payments & The Payments Industry

Competitive Rivalry

High: GPN faces strong, established rivals, disruptive fintech, GAFA and tech giants all expanding their payments services. Even though each player may have different geographical focus and market niches, target markets tend to overlap as they scale.

Bargaining Power of Suppliers

Moderate to High: Key suppliers (Visa, Mastercard, Amex) have widespread acceptance and strong market position which gives them significant power to dictate fees and terms to GPN.

Threat of Substitutes

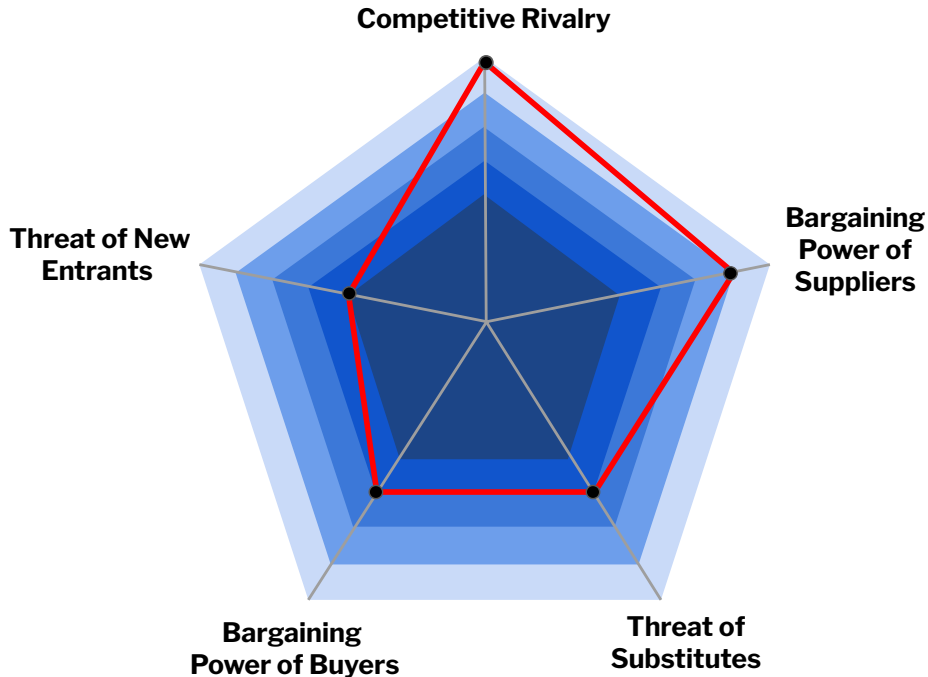
Low to Moderate: Comes from alternative payment methods that bypass traditional card networks. Growing adoption of digital wallets (Apple Pay) and account-to-account (A2A) transfers could impact GPN's core revenue streams.

Bargaining Power of Buyers (Merchants)

Low to Moderate: Size of merchants determines their bargaining power. Large enterprise clients can leverage their volume to demand lower transaction fees. However, GPN's embedded integrations increases its "stickiness" and merchants will more likely "stick" to GPN once consumer habits are formed.

Threat of New Entrants

Low: Barriers to entry are significant due to high capital requirements for technology infrastructure, extensive and costly regulatory compliance (e.g., PCI), and the need to build brand trust.



Comparable Companies' Analysis

Data for FY 2024	Enterprise Value	Market Cap	EBITDA Margin	Net Income Margin	OP Margin	P/E	EV/EBITDA	ROA	ROE
Fidelity National Information Services, Inc.	53,162.88	43,482.88	30.9%	14.3%	22.9%	29.99x	16.98x	3.26	4.55
Fiserv, Inc.	141,685.29	116,867.29	43.9%	15.3%	28.7%	37.33x	15.79x	4.37	10.90
Adyen N.V.	36,710.47	45,233.76	47.4%	45.9%	44.6%	48.89x	38.45x	5.36	25.06
Block, Inc.	51,215.08	52,679.50	5.6%	12.0%	4.3%	18.18x	38.06x	1.86	14.36
PayPal Holdings, Inc.	86,905.69	85,566.69	19.4%	13.0%	17.7%	20.63x	14.09x	4.30	20.00
Mean	73,935.88	68,766.02	29.4%	20.1%	23.7%	31.00x	24.68x	3.83	14.97

Global Payments, Inc.	43,975.90	28,518.69	43.6%	15.5%	25.1%	18.16x	9.99x	3.26	7.03
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Commentary on Multiples

Despite outperforming peers on profitability and margins, GPN trades at significantly lower valuation multiples. While its historical underperformance and higher leverage partly justify a discount, we believe the stock has been excessively punished. With Worldpay synergies, internal transformation, and strong industry tailwinds, we see clear potential for re-rating and price appreciation.

DCF Summary



Summary of Discounted Cash Flow Model

Cashflow

All figures in USD millions unless stated

	2024A	2025E	2026E	2027E	2028E	2029E
Revenue	10,106	10,798	13,195	16,219	17,720	19,351
EBIT	2,540	3,023	3,695	4,541	4,961	5,418
EBIT Margin	25%	28%	28%	28%	28%	28%
NOPAT	2,017	2,388	2,919	3,588	3,920	4,280
Plus: Depreciation & Amortization	1,862	1,944	2,375	2,919	3,190	3,483
Less: Capital Expenditure	675	756	924	1,135	1,240	1,355
Less: Increase / (Decrease) in Working Capital	(2,547)	1,120	910	1,149	570	620
Unlevered Free Cash Flow	5,751	2,456	3,460	4,223	5,299	5,789
Discounted Cash Flow		2,249	2,901	3,243	3,726	3,728
WACC						9.2%

Summary of WACC Calculation

Equity Risk Premium			Cost of Equity	
Market Risk Premium	4.3%		Risk Free Rate	4.1%
Average Unlevered Beta of Peers	1.36		Equity Risk Premium	8.7%
Levered Beta	2.01		Cost of Equity	12.8%
Equity Risk Premium	8.7%			
Capital Structure			Cost of Debt	
Total Debt	17,170	37.6%	Pre-Tax Cost of Debt	4.2%
Total Equity	28,518	62.4%	Tax Rate	21.0%
Total Capitalization	45,688	100.0%	After-Tax Cost of Debt	3.3%
Debt / Equity		60.2%		
Weighted Average Cost of Capital				
	Weight	Cost		
Debt Capital	37.6%	3.3%		
Equity Capital	62.4%	12.8%		
Weighted Average Cost of Capital		9.2%		